

ARISTO EDUCATIONAL PRESS
HONG KONG DIPLOMA OF SECONDARY
EDUCATION EXAMINATION

(Mock Test 38)

Suggested Solution

Paper 1

- | | | |
|-------|-------|-------|
| 1. C | 11. C | 21. A |
| 2. A | 12. B | 22. B |
| 3. D | 13. A | 23. A |
| 4. D | 14. D | 24. B |
| 5. A | 15. D | 25. B |
| 6. D | 16. A | 26. C |
| 7. A | 17. C | 27. D |
| 8. C | 18. B | 28. D |
| 9. A | 19. D | 29. B |
| 10. C | 20. B | 30. B |

Explanation

1. Answer: C

The value of selling the commercial property is Miss Wong's opportunity cost of renting out the property.

(1) is correct. When the government announces plans to build a railway station near the property, making transportation in the area more convenient in the future, the selling price of the property will increase. The value of selling the property will increase, resulting in an increase in her opportunity cost of renting out the property.

(2) is correct. When the annual interest rate on deposits increases, the interest earned by Miss Wong after selling the property will increase and the value of selling the property will increase. Therefore, her opportunity cost of renting out the property will increase.

(3) is incorrect. An increase in the rental value of the commercial property will only affect the value of renting out the property, without affecting the opportunity cost of renting out the property.

2. Answer: A

Zoe would choose the first option as the benefit of choosing the first option (the value of the first option) is higher than the cost (the value of the second option).

(1) is correct. This would increase the value of the first option, thus affecting Zoe's benefit of choosing the first option.

(2) is correct. This would increase the value of the second option, thus raising Zoe's cost of choosing the first option.

(3) is incorrect. This would reduce the value of the third option, without affecting Zoe's benefit or cost of choosing the first option.

3. Answer: D

4. Answer: D

5. Answer: A

6. Answer: D

Since the firm cannot issue shares and bonds to the public, it may be a partnership or a private limited company. Mr. Chan's transfer of ownership requires the consent of the other owners.

Option A is incorrect. If the firm is a private limited company, it needs to pay the profits tax rate of a limited company.

Option B is incorrect. If the firm is a partnership, there is no upper limit on the number of owners.

Option C is incorrect. If the firm is a private limited company, it is a legal entity and it can own assets under its name.

7. Answer: A

Firm A is a public limited company while firm B is a private limited company. Therefore, the two firms are subject to the same profits tax rate when they have the same amount of profit.

(2) is incorrect. Both a public limited company and a private limited company can issue shares and bonds.

(3) is incorrect. Both a public limited company and a private limited company are legal entities, so there is no difference in their continuity.

8. Answer: C

Option A is incorrect. The shuttle bus service is an economic good because the quantity of the service available is not sufficient to satisfy all human wants.

Option B is incorrect. The shuttle bus service is a capital good because it is a service used in the production process to produce other services, not because people prefer more of the service.

9. Answer: A

Option D is incorrect. Economic goods are not necessarily produced by people using scarce resources. Some natural resources (such as ores) are not produced by people, but they are economic goods.

10. Answer: C

(1) is incorrect. Expanding the list of eligible universities under the TTPS will increase the geographical mobility of people coming to Hong Kong for development, while the geographical mobility of Hong Kong workers will not be affected.

11. Answer: C

	Firm A	Firm B
Labour supply	10 man-hours $\times$ 30 = 300 man-hours	6 man-hours $\times$ 40 = 240 man-hours
Average labour productivity	3,000 units / 300 man-hours = 10 units/man-hour	3,600 units / 240 man-hours = 15 units/man-hour

According to the above table, the average labour productivity of firm B is higher than that of firm A.

Option B is incorrect. If firm A adopts piece rate and firm B adopts time rate, since the income of workers of firm A depends on output, the labour productivity of firm A should be higher than that of firm B, which is inconsistent with the data in the question.

12. Answer: B

13. Answer: A

Machinery (units)	Labour (units)	Total product (units)	Total production cost (\$)	Marginal product (units)	Average product (units)
5	1	5	200	5	5
5	2	15	300	10	7.5
5	3	24	400	9	8
5	4	32	500	8	8
5	5	39	600	7	7.8

When the quantity of machinery remains unchanged and the quantity of labour increases from 2 units to 3 units, the marginal product of labour decreases from 10 units to 9 units. Therefore, the law of diminishing marginal returns applies to the firm.

Options B and C are incorrect. Since there is a fixed factor (machinery), the data shows the short run situation; however, the situations described in the options will only occur in a long run situation.

Option D is incorrect. The average product of labour is the highest when the quantity of labour is 3 or 4 units.

14. Answer: D

When some travel agencies that used to organise local tours close their businesses, the supply of local tours services will decrease, and the market price will increase. Marginal revenue will increase and the profit-maximising output will increase.

Option A is incorrect. When the rental for the premises of the travel agency decreases, the fixed cost of production will decrease and the profit-maximising output will not be affected.

Option B is incorrect. When the basic hourly wage of tour guides increases, the marginal cost of production will increase and the profit-maximising output will decrease.

Option C is incorrect. When more tourists prefer to travel by themselves instead of joining local tours, the demand for local tours will decrease and the market price will decrease. Marginal revenue will decrease and the profit-maximising output will decrease.

15. Answer: D

The chain fashion store expanded its business to the previous stage of production, which cannot develop sales channels for its products.

16. Answer: A

Option D is incorrect. Adjusting the market price can eliminate shortage but cannot eliminate scarcity.

17. Answer: C

(1) is correct. When the transportation cost decreases, the price of electronic products will decrease and the sales volume will increase.

(2) is correct. The money price of high-end electronic products is generally higher than that of ordinary electronic products. When the transportation cost decreases, the relative price of high-end electronic products (in terms of ordinary electronic products) will increase. According to the law of demand, relative to ordinary electronic products, people will buy fewer high-end electronic products. The proportion of high-end electronic products sold in the market will decrease. Therefore, the average quality of electronic products sold in the market will decrease.

18. Answer: B

When the government reduces the tax deduction for domestic rental expenses, the demand for rental housing will decrease and the demand curve will shift to the left from D_0 to D_2 . At the same time, the completion of private residential properties will lead to an increase in the supply of rental housing, and the supply curve will shift to the right from S_0 to S_1 .

19. Answer: D

Simplifying the procedures for foreign tourists to apply for tourist visas will attract more tourists to visit, so the demand for hotel services will increase and the demand for hotel staff in Country A will also increase. More graduates expecting the average wage in the hotel industry to increase will raise the supply of hotel staff.

20. Answer: B

(1) is correct. Fitness centre membership and home fitness equipment are substitutes in general. When the price of fitness centre membership increases, the demand for home fitness equipment will increase. The price for home fitness equipment will increase.

(3) is correct. Milk is an input for ice cream. When the price of milk increases, the cost of producing ice cream will increase and the supply of ice cream will decrease. The price of ice cream will increase.

(2) is incorrect. Beef and leather are in joint supply. When the price of beef increases, the supply of leather will increase. The price of leather will decrease.

21. Answer: A

Suspension of the supply of raw materials for producing sports shoes will cause the supply of sports shoes to decrease. The price will increase and the quantity transacted will decrease. According to the information given, the percentage change in price (10%) is smaller than the percentage change in quantity demanded (20%), so the demand for sports shoes is elastic.

If sports shoes are highly durable, when the price of sports shoes increases, people may continue to use their existing sports shoes and postpone the purchase of new sports shoes, so the demand for sports shoes tends to be elastic.

Option B is incorrect. If sports shoes are necessities for consumers, the demand for sports shoes will tend to be inelastic.

Options C and D are incorrect. They are factors that affect the price elasticity of supply and cannot explain the changes in price and quantity demanded.

22. Answer: B

Unit price (\$)	Quantity demanded (units)	Quantity supplied (units)	Quantity supplied after tax (units)
2	70	40	-
3	60	45	-
4	50	50	-
5	40	55	40
6	30	60	45

The original price was \$4 and the quantity transacted was 50 units.

After imposing a per-unit sales tax of \$3, the price is \$5 and the quantity transacted is 40 units.

(1) is correct.

Consumers' tax burden = $(\$5 - \$4) \times 40 = \$40$

Producers' tax burden = $[\$4 - (\$5 - \$3)] \times 40 = \80

The more elastic party will have a smaller share of the tax burden. As consumers' tax burden is smaller than producers' tax burden, the demand for good X is more elastic than its supply.

(3) is correct. Total tax revenue = $\$3 \times 40 = \120

(2) is incorrect. Sellers' revenue net of tax = $(\$5 - \$3) \times 40 = \$80$

23. Answer: A

Local textiles and imported textiles are substitutes. Imposing a quota on imported textiles will lead to an increase in the price of imported textiles, so demand for local textiles will increase. Since demand for workers in the textile industry is a derived demand for textiles, the demand for workers in the local textile industry will increase and the total wage earnings of workers in the local textile industry will increase.

Option B is incorrect. The import quota will lead to a higher price of imported textiles. According to the law of demand, the quantity demanded of imported textiles will decrease, not the demand.

Option C is incorrect. Imposing a quota on imported textiles will not increase the supply of Country A's textiles.

Option D is incorrect. Imposing a quota on imported textiles will lead to an increase in the price of imported textiles and a decrease in the quantity transacted. If the demand for imported textiles is inelastic, the percentage decrease in quantity transacted will be smaller than the percentage increase in price, and total expenditure will increase.

24. Answer: B

The interdependence of firms in their pricing strategies is the feature that distinguishes oligopoly from all other types of market structures.

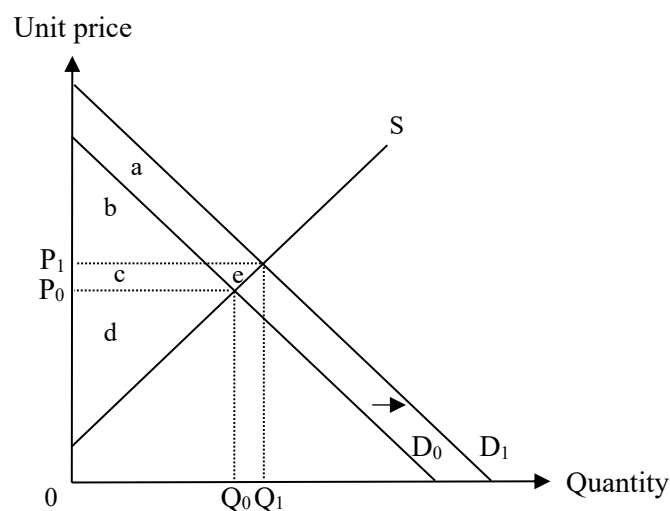
25. Answer: B

When the demand for fresh food increases, the price of fresh food will increase, which will induce firms to direct more resources towards the production of fresh food.

26. Answer: C

Imposing an effective price floor will cause the quantity transacted to decrease and the price to increase. Consumer surplus will decrease. As shown in the diagram, since the arc between the effective price floor and the equilibrium price is above the mid-point of the demand curve, demand is elastic within this price range. The percentage decrease in quantity transacted will be greater than the percentage increase in price, and total revenue will therefore decrease.

27. Answer: D



(1) is correct. The original consumer surplus is area (b + c) and the new consumer surplus is area (a + b). Consumer surplus increases.

(2) is correct. The original producer surplus is area d and the new producer surplus is area (c + d + e). Producer surplus increases by area (c + e).

(3) is correct. When the demand for good X increases, the price will increase. Since marginal cost equals the price, the marginal cost of producing the last unit of good X will increase.

28. Answer: D

If these restaurants are owned by the developer of the housing estate, the diners that the housing estate brings to these restaurants is a private benefit to the developer of the housing estate, so there will be no divergence between private and social benefits.

29. Answer: B

Country A's Lorenz curve is closer to the line of perfect income equality in 2023 than in 2021, showing that income inequality has improved in 2023. Raising the standard tax rate of the salaries tax caused the post-tax post-social transfer income of high-income people to decrease, while the post-tax post-social transfer income of low-income people remained unchanged, improving income inequality.

Option A is incorrect. A regressive tax system would worsen income inequality.

Option C is incorrect. Reducing the transfer payments to the poor would worsen income inequality.

Option D is incorrect. If the percentage increase in the post-tax post-social transfer income of low-income households is lower than that of high-income households, income inequality would worsen.

30. Answer: B

(1) is correct. Most people with disabilities have no income or low income. Subsidizing employers to hire people with disabilities can encourage employers to hire people with disabilities. This can increase the income of people with disabilities and the income distribution will become more even. The demand for workers with disabilities will increase and the number of people being employed will increase.

(4) is correct. The same amount of subsidy accounts for a higher proportion of the income of those with low-income than that of those with higher income. Also, increasing the subsidies may increase the opportunities for low-income people to find a job with higher income as they can travel farther away from their residence. Thus, the income distribution will become more even. Increasing the subsidies provided to citizens for public transportation expenses may encourage people who were not in the labour market to enter the labour market, and the number of people being employed may increase.

(2) is incorrect. Reducing the basic allowance for the salaries tax will not make Hong Kong's income distribution more even, because low-income people who were not required to pay tax may fall into the tax net, resulting in a reduction in their post-tax income. In addition, these people may prefer not to work because of the tax. Therefore, reducing the basic allowance for the salaries tax will not increase the number of people being employed.

(3) is incorrect. Increasing the amount of unemployment benefits can increase the income of unemployed people and make the income distribution more even. However, increasing the amount of unemployment benefits may make people less willing to look for a job and therefore will not increase the number of people being employed.

Paper 2

Section A (30 marks)

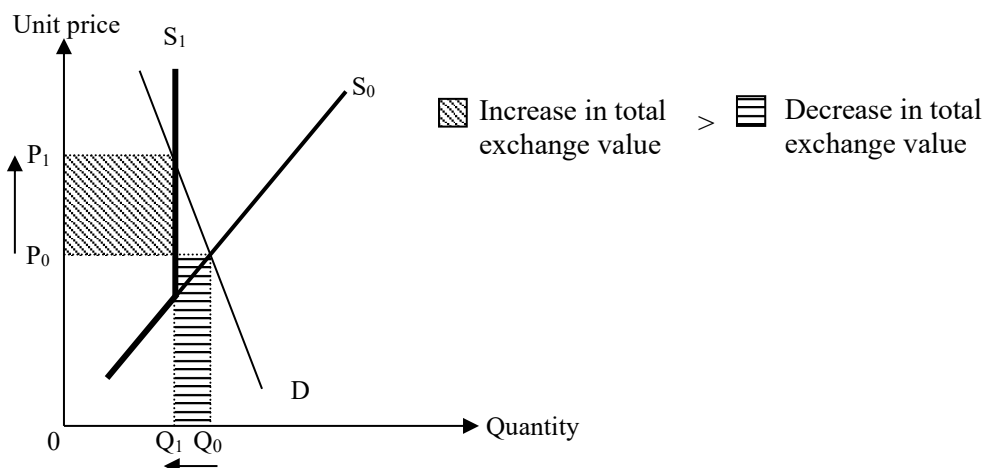
1. (a) Capital. (1 mark)
(b) A shortage in the iron ore market implies that firm A needs to spend extra money/resources to compete for iron ore. The monetary/non-monetary costs involved will increase, and the full cost will increase. (3 marks)
2. (a) No, (1 mark)
because the vaccination service is produced from scarce resources which have alternative uses. (1 mark)
(b) Getting vaccinated can reduce the chance of oneself and others getting infected. As the vaccinated person is not compensated by others (whose chances of being infected are reduced), external benefit exists. The marginal social benefit is greater than the marginal social cost. This implies that the number of people vaccinated is below the efficient level. Extending the free seasonal influenza vaccination service can increase the number of people vaccinated (by lowering the marginal private cost), bringing the number of people vaccinated closer to the efficient level and narrowing the gap between marginal social benefit and marginal social cost. (4 marks)
(c) Positive statement. (1 mark)
It is refutable by facts. (1 mark)
3. (a) (i) A possible reason:
 - Lower marketing expenses: The area can attract more customers (e.g. tourists).
 - Lower cost of sourcing ingredients: A network of suppliers and firms in other supporting industries tend to develop near the area, reducing the cost of sourcing ingredients for the sushi restaurant.
 - Any reasonable answer(Mark the **FIRST** point only) } 2@, max: 2 marks
(ii) A possible reason:
 - Saturation of existing market: With too many sushi restaurants operating in the same area, the sushi restaurant may need to increase marketing costs to attract customers.
 - Any reasonable answer(Mark the **FIRST** point only) } 2@, max: 2 marks
(b) Under perfect competition, a firm produces up to an output level at which the marginal cost of the last unit equals its marginal revenue (i.e. the market price) to achieve maximum profit. Since rent does not change with output, it is considered a fixed cost. An increase in rent will not affect the marginal cost of the sushi restaurant. As both the marginal cost and the marginal revenue remain unaffected, the profit-maximising output will remain unchanged. (3 marks)

4. Verbal elaboration:

After imposing an effective quota, the equilibrium price will increase and the quantity transacted will decrease. Since fish is almost a necessity, the demand for fish will tend to be inelastic. The percentage increase in price will be greater than the percentage decrease in quantity transacted, and the total exchange value of fish will increase. (2 marks)

Illustrate in the diagram:

- Price increases, quantity transacted equals the quota limit (1 mark)
- Correct positions of increase in total exchange value and decrease in total exchange value (1 mark)
- Increase in total exchange value > Decrease in total exchange value (1 mark)

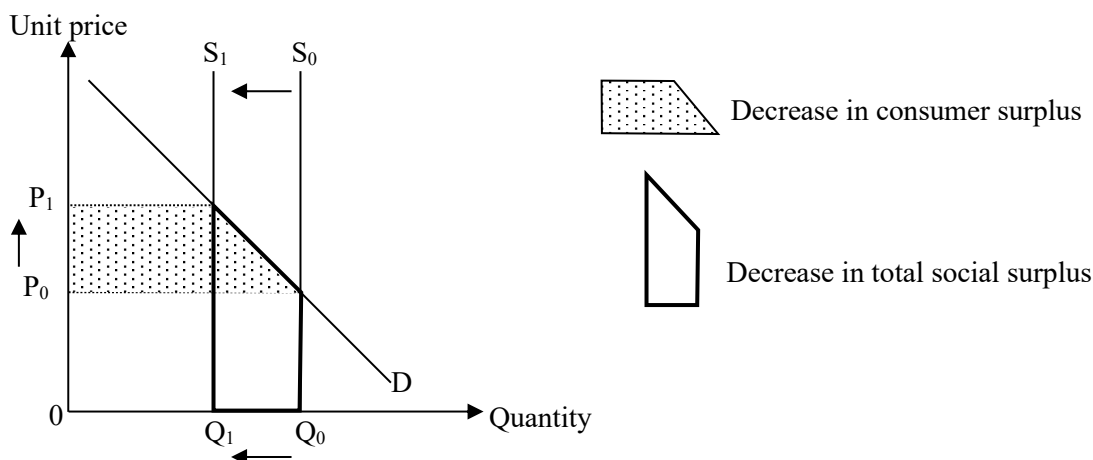


5. (a) Verbal elaboration:

When some of these handbags were destroyed, the supply of the handbag would decrease. (1 mark)
The price would increase and the quantity transacted would decrease. The consumer surplus would decrease. (1 mark)

Illustrate in the diagram:

- vertical supply curve (1 mark)
- leftward shift of the supply curve (1 mark)
- correct position of decrease in consumer surplus (1 mark)



(b) Illustrate in the diagram:

- correct position of decrease in total social surplus (1 mark)

Section B (40 marks)

6. (a) People who rent youth hostels do not have the right to transfer the unit they rent as they cannot sell the unit. (2 marks)
- OR
- People who rent youth hostels do not have the exclusive right to receive income from the unit they rent as they cannot rent the unit out to generate income. (2 marks)
- (b) Basic economic problems:
- 'What to produce', because the decision to provide youth hostels is related to what service to provide.
 - 'For whom to produce', because determining the eligibility criteria for the youth hostels is related to who can rent the youth hostels.
- } 2@, max: 4 marks
- (Mark the **FIRST TWO** points only)
- (c) The occupational mobility of people living in the youth hostels will increase as they can participate in various support and training activities in the hostels, which will increase their ability or willingness to change from one occupation to another. (3 marks)
7. (a) Secondary production. (1 mark)
- Original Factory turns raw materials into finished products (desserts). (1 mark)
- (b) Private limited company. (1 mark)
- A feature:
- shareholders enjoy limited liability
 - lasting continuity
 - separation of ownership and management
 - any reasonable answer
- } 1@, max: 1 mark
- (Mark the **FIRST** point only)
- (c) Possible reasons:
- lower cost of buying raw materials (e.g. flour) because of bulk purchases
 - costs of marketing is spreaded over a large quantity of output
 - lower cost of borrowing as more assets can be used as collateral
 - any reasonable answers
- } 1@, max: 2 marks
- (Mark the **FIRST TWO** points only)
- (d) Vertical forward expansion. (1 mark)
- An example:
- Opening a coffee shop to sell the desserts produced by the factory. (2 marks)
- OR
- Any reasonable answer (2 marks)

(e) An advantage:

- The cost of measuring the chefs' output is lower because wages are paid on a time basis.
- Since the incomes of the chefs are more stable, it is easier to maintain a static team.
- Any reasonable answer

1@, max: 1 mark

(Mark the **FIRST** point only)

A disadvantage:

- Since the chefs' incomes do not directly depend on output, they tend to have weaker incentive to work hard.
- The cost of supervising the chefs' performance is higher because of the problem of shirking.
- Any reasonable answer

1@, max: 1 mark

(Mark the **FIRST** point only)

8. (a) A reason:

- Hotels are price searchers and they charge different prices.
- Hotels engage in price competition and non-price competition.
- Any reasonable answer

2@, max: 2 marks

(Mark the **FIRST** point only)

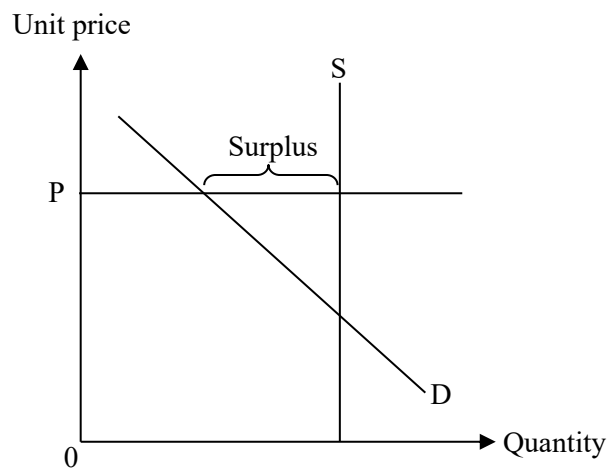
(b) Illustrate in the diagram:

- vertical supply curve
- rate of hotel rooms is higher than the equilibrium level
- correct position of surplus

(1 mark)

(1 mark)

(1 mark)



- (c) When HAT is imposed, the price of a hotel room (room rate) will increase. If the demand for hotel accommodation is elastic, the percentage increase in the price of a hotel room will be smaller than the percentage decrease in quantity transacted, and the total expenditure by tourists on hotel accommodation will decrease. (3 marks)

(d) Division of labour/specialisation.

(1 mark)

Reasons:

- choosing the best people to do the job
- practice makes perfect
- saving time on training
- saving time on moving from one task to another
- any reasonable answers

1@, max: 2 marks

(Mark the **FIRST TWO** points only)

(e) Marks awarded for effective communication (EC: max 1 mark)

Marks	Performance
1	• <i>Arguments presented with some support of the source/data and economic theories</i> • <i>Some irrelevant materials presented</i> • <i>Answers presented in a less organised way with some repetition of ideas</i> • <i>A clear message conveyed with some inappropriate use of language/words/terms/symbols</i>
0	• <i>Arguments presented with no support of the source/data and economic theories</i> • <i>Materials unrelated to the gist of the question presented</i> • <i>Inconsistent arguments presented</i> • <i>Limited ideas expressed with inappropriate use of words/terms/symbols</i>

The maximum marks for content are 8 marks. Answers may include the following:

Profits of local hotels

Proposal I:

- The hotel accommodation services market was in surplus originally. Distributing accommodation vouchers will directly increase overseas tourists' demand for local hotel accommodation services. Assuming hotel room rates remain unchanged, the increase in demand will lead to an increase in the quantity transacted of hotel accommodation services and total revenue will increase. If the increase in total revenue is greater than the increase in total cost, profits will increase.
- With reference to the view of the tourist in Source C, the hotel room rates in Hong Kong are much higher than those in neighbouring areas. A HK\$100 accommodation voucher may not significantly narrow the gap between the monetary costs of staying in hotels in the two areas. Distributing accommodation vouchers may not effectively increase the demand for local hotel accommodation services, and so may not have a significant effect on the profits of local hotels.
- With reference to the view of the member of the hotel industry in Source C, if the hotels cannot hire enough staff to provide services at the current wage level, the hotels will not be able to provide more hotel services even if the demand for local hotel services from overseas tourists increases. Therefore, total revenue cannot be increased.

- With reference to the view of the member of the hotel industry in Source C, if the hotels need to increase the wage level to hire enough staff to provide more hotel accommodation services, both total cost and total revenue of local hotels will increase. Profits may increase, decrease or remain unchanged.

Proposal II:

- Relaxing the restrictions on the importation of low-skilled foreign workers by the Hong Kong hotel industry will make it easier for hotels to hire the labour they need, enabling them to provide services to more overseas tourists. If the increase in total revenue is greater than the increase in total cost, profits will increase.
- Relaxing the restrictions on the importation of low-skilled foreign workers by the Hong Kong hotel industry will make it easier for hotels to hire the labour they need. If local hotels replace local workers with foreign workers that are hired at a lower wage, total cost will decrease and profits will increase.

Income distribution

Proposal I:

- Since only overseas tourists can obtain the accommodation vouchers, while Hong Kong residents cannot, Proposal I will have no effect on Hong Kong's income distribution.
- Distributing accommodation vouchers will directly increase overseas tourists' demand for local hotel accommodation services. The total revenue of local hotels will increase. The profits of hotel owners may increase while there will be no significant effect on the income of low-income earners, so the income distribution may become more uneven.
- Distributing accommodation vouchers will directly increase overseas tourists' demand for local hotel accommodation services. Since the demand for workers in the hotel industry is a derived demand for hotel services, the demand for workers in the hotel industry will increase and their equilibrium wage will increase. Since hotels employ many low-skilled workers, the income of low-income earners may increase while the income of high-income earners may not change significantly, and the income distribution may thus become more even.

Proposal II:

- Relaxing the restrictions on the importation of low-skilled foreign workers by the Hong Kong hotel industry will increase the supply of hotel workers. The market for hotel workers may still be in shortage after the increase in supply. The equilibrium wage of low-skilled hotel workers may remain unchanged, so Hong Kong's income distribution may not be affected.
- Relaxing the restrictions on the importation of low-skilled foreign workers by the Hong Kong hotel industry will increase the supply of hotel workers. If the number of low-skilled foreign workers imported exceeds the size of the labour shortage, the equilibrium wage of low-skilled hotel workers may decrease while high-skilled hotel workers will not be affected. The income of low-skilled hotel workers is generally lower than that of high-skilled hotel workers, so the income distribution will become more uneven.